

		discussed above, Plaintiffs also sufficiently plead a cause of action for negligent misrepresentation. (See <i>ibid.</i>) Accordingly, the Court DENIES Defendants' motion as to the third cause of action.
8	Ayoubi v. National General Premier Inc. Co. 2024-01394713 Motion for Summary Judgment/Adjudication	Defendant National General Premier Insurance Company's Motion for Summary Judgment/Adjudication is CONTINUED to 7/27/26 at 1:45 p.m. in this Department. The Court's electronic docket reflects that on 6/22/26, Plaintiff attempted to file a request for dismissal as to moving Defendant, but the filing was rejected by the Court Clerk for the following reason: "The attorney or party information is incomplete or inconsistent with our records. State Bar Number was not listed in the document header. Please ensure that all fields match our records." Plaintiff shall promptly file a revised request for dismissal, after which the Court will take the continued hearing off calendar.
9	Hassanin v. RDS Real Estate LLC 2023-01335896 Motion for Summary Judgment/Adjudication	Defendants RDS Real Estate, LLC and Ibrahim Ghanem's motion for summary judgment or in the alternative (1) motion for summary adjudication or (2) motion for Judgment on the pleadings is GRANTED. Leave to amend is DENIED. Defendants' request for judicial notice is GRANTED. (See Evid. Code, § 452, subd. (d).) Defendants' objections are SUSTAINED. Defendants seek summary judgment on the grounds that plaintiff Mohamed Hassanin, DC ("Hassanin") does not have standing to assert the causes of action alleged in the operative Second Amended Complaint ("SAC") because he is not a party to the Agreement that forms the basis of the SAC. A corporation exists as a separate legal entity, distinct from its owners/shareholders, and as a result, owners/shareholders have no personal or individual right of action against third persons for a wrong or injury to the corporation. (<i>Grosset v. Wenaas</i> (2008) 42 Cal.4th 1100, 1108; <i>Jones v. H.F. Ahmanson & Co.</i> (1969) 1 Cal.3d 93, 107.) Such claims must be brought by the corporation itself. (See Code Civ. Proc. §367 [every action must be prosecuted in the name of the real party in interest].) If the corporation fails or refuses to do so, a stockholder may bring a derivative suit on behalf of the corporation. (<i>Grosset</i>, <i>supra</i>, 42 Cal.4th at p. 1108; <i>Jones</i>, <i>supra</i>, 1 Cal.3d at p. 107.) Defendants' material facts establish the following: Hassanin filed the original complaint on behalf of himself individually arising from a written Marketing Services Agreement (the "Agreement"). (UMF Nos. 1-2.) The complaint alleges the

	Agreement was made between defendant RDS, a limited liability company, and Lakewood Chiropractic & Medical Center, a California professional corporation ("Lakewood"). (UMF Nos. 3-4.) Neither Hassanin nor defendant Ghanem are named as parties to or beneficiaries of the Agreement. (UMFNo. 5.) On that basis, Defendants filed a demurrer to the complaint, asserting that Plaintiff and Ghanem were improperly joined as parties. (UMF No. 6.) On or about 5/17/24, Hassanin filed a First Amended Complaint ("FAC") pursuant to which he added Lakewood as a plaintiff, alleging that Lakewood is a California corporation and that Hassanin entered into the Agreement on behalf of Lakewood. (UMF Nos. 7-8 [FAC ¶¶3, 9].) However, Hassanin did not remove himself as a plaintiff, nor did he remove Ghanem as a defendant. (UMF No. 9 (FAC, ¶¶ 1, 3-4).) As a result, on 6/8/24, Defendants filed a demurrer to the FAC, again asserting that Hassanin and Ghanem were improperly joined as parties. (UMF No. 10.) Hassanin opposed the motion arguing that he was a proper plaintiff because Lakewood is only his "DBA" and not a separate legal entity. (UMF No. 11.) Because this was contrary to Lakewood's alleged status in the FAC and the Agreement as a California corporation and was based upon facts not alleged in the FAC, the court sustained the demurrer with leave to amend. (UMF No. 12.) On 3/21/25, Hassanin filed the SAC with only himself as plaintiff and alleging he conducts business using Lakewood as a "DBA". (UMF No. 13 [SAC ¶¶1, 3].) Lakewood, as a California professional corporation or other separate entity, was not named as a plaintiff in the SAC and is not a party to this action. (UMF No. 14.) Hassanin did not file a separate statement in support of his opposition to the instant motion as required by Code of Civil Procedure section 437c, subdivision (b)(3). Therefore, these facts are undisputed. The undisputed facts establish Hassanin did not have standing when he commenced this action in his individual capacity because the Agreement was between Lakewood and RDS and all of the cause of action arise from the Agreement. The FAC did not resolve the standing issue because Hassanin did not remove himself as a plaintiff. Further, removing Lakewood as a plaintiff from the SAC and recasting Lakewood as his "DBA" instead of a corporation did not resolve the standing issue because the new allegations of the SAC impermissibly contradict the FAC. The SAC's allegations also contradict the Agreement, which is attached as an exhibit to the SAC and shows Lakewood entered into the Agreement (UMF No. 4.) This unexplained contradiction in the SAC to avoid the defect in the FAC establishes the SAC is a sham pleading and must
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be disregarded. (See, *Owens v. Kings Supermarket* (1988) 198 Cal.App.3d 379, 383-384; *Alameda County Waste Management Authority v. Waste Connections US, Inc.* (2021) 67 Cal.App.5th 1162, 1174-1175.)

In his opposition, Hassanin concedes he is not a proper party to this action. (See Opp., p. 5:11.) As such, Defendants have met their initial burden. Hassanin has not submitted admissible evidence establishing triable issues of material fact.

Hassanin instead contends Lakewood is the "DBA" for another entity, Hassanin Chirospine & Rehab Corp. ("HCRC"), and he intends to amend the complaint again to name HCRC as plaintiff. (See Opp., p. 5:12-22.) Hassanin's counsel contends she learned a few weeks ago that the "Lakewood" fictitious business name is owned by HCRC, and not Hassanin. (See Cronin Decl., ¶¶ 3-4.)

"It is well settled that the pleadings set the boundaries of the issues to be resolved at summary judgment." (*Vulk v. State Farm General Ins. Co.* (2021) 69 Cal.App.5th 243, 255.) "A party may not oppose a summary judgment motion based on a claim, theory, or defense that is not alleged in the pleadings. Evidence offered on an unpleaded claim, theory, or defense is irrelevant because it is outside the scope of the pleadings." (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 637, fn. 3.) If a plaintiff wants to make a factual assertion or present a legal theory not yet pleaded, the plaintiff should seek leave to amend before the hearing on the motion for summary judgment. (*Vulk*, supra, 69 Cal.App.5th at p. 255.) Separate statements and declarations in opposition to a motion for summary judgment are not substitutes for amended pleadings. (*Ibid.*)

Here, Hassanin failed to seek leave to amend. In his opposition he merely states he will request a stipulation from Defendants to amend the pleadings to correct the plaintiff and, if a stipulation cannot be reached, he will move the court for leave to amend pursuant to Code of Civil Procedure section 473, subdivision(a)(1). (See Opp., p. 5:12-22.) To date, Hassanin has not done either. The declaration from Hassanin's counsel identifying a new potential plaintiff is irrelevant and not a substitute for an amended pleading.

"A trial court has wide discretion to allow the amendment of pleadings, and generally courts will liberally allow amendments at any stage of the proceeding. But if the proposed amendment fails to state a cause of action, it is proper to deny leave to amend. Further, unwarranted delay in seeking leave to amend may be considered by the trial court when ruling on a motion for leave to amend, and appellate courts are less likely to find an abuse of discretion where, for example, the proposed amendment is offered after

	long unexplained delay or where there is a lack of diligence. Thus, when a plaintiff seeks leave to amend his or her complaint only after the defendant has mounted a summary judgment motion directed at the allegations of the unamended complaint, even though the plaintiff has been aware of the facts upon which the amendment is based, it would be patently unfair to allow plaintiffs to defeat the summary judgment motion by allowing them to present a moving target unbounded by the pleadings." (<i>Applegate v. Carrington Foreclosure Services, LLC</i> (2025) 112 Cal.App.5th 356, 368-369. Here, Hassanin has not established leave to amend is possible or appropriate. First, it is undisputed that the Agreement is between RDS and Lakewood, as a professional corporation, and HCRC is not a party to the Agreement. Therefore, HCRC does not have standing to assert claims arising from the Agreement. Hassanin has not cited authority for substituting HCRC for Lakewood. Thus, the SAC cannot be amended to state a viable cause of action. Second, Hassanin has not explained his unreasonable delay seeking leave to amend. Hassanin's counsel was put on notice of the standing issue as early as 9/28/23 when Defendants filed their demurrer to the complaint. Even if Hassanin's supporting declaration was admissible, it does not explain why Hassanin's counsel (1) did not make an effort before "early last year" when counsel spoke with Hassanin's office administrator to determine Lakewood's status; (2) assumed Lakewood was a "DBA" for Hassanin individually and did not take further steps to investigate Hassanin's status as a plaintiff despite standing being an ongoing issue; (3) waited until 6/4/26, nearly two months after Defendants filed this motion, to further investigate Hassanin's standing; and (4) has not filed a motion for leave to amend to add HCRC as a plaintiff. The declaration establishes a lack of diligence and does not explain the unwarranted delay. Lastly, Defendants have established it will be prejudiced if leave to amend is granted. Defendants have already incurred costs preparing the instant motion and the prior demurrers to challenge the ongoing standing issue. If HCRC is added as the plaintiff, Defendants will be forced to incur additional costs to bring another motion for summary judgment that will, in turn, require a trial continuance. Currently, trial is set for 8/9/26, less than two-months away. The motion for summary judgment is GRANTED. Leave to amend is DENIED.
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